Pre-Class Assignment: Schmidt Essay

"The San Francisco Consensus"

ECON 470 — Microeconomics of Artificial Intelligence

Spring 2026

Reading: Eric Schmidt, "The San Francisco Consensus," *The Digitalist Papers*, Vol. 2 (2024). Available at digitalistpapers.com/vol2/schmidt.

Due: In person, Wednesday May 20, at the start of class.

Instructions: Answer each question in 1–3 sentences. These are reading-check questions — they should be quick if you read the essay. You must submit this assignment in person. The assignment must be handwritten. No photocopies will be accepted.

Why we do this: A team of your classmates is presenting this essay and leading a 10-minute discussion afterward. These questions ensure you arrive ready to participate.

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1. Schmidt argues that despite their visible disagreements, leading AI technologists share a common set of beliefs — the "San Francisco Consensus." What are the core premises of this consensus?
2. Schmidt distinguishes three "revolutions" in the architecture of AI capability. Name them and identify which he treats as most speculative.
3. Schmidt identifies three material constraints that could slow AI progress. Name two of them, and briefly say why each matters.
4. Schmidt contrasts more optimistic views of AI's labor-market effects (e.g., Autor) with more pessimistic ones (e.g., Stiglitz, Acemoglu). In one sentence, summarize where they disagree.
5. Schmidt argues the San Francisco Consensus deserves "serious consideration and rigorous critique" from outside Silicon Valley. State one reason he gives, then say whether you find it convincing and why.